

The Plural of Anecdote *IS* Data

ONE OF THE key lessons of behavioral economics is the danger of not examining your own beliefs. Failing to consider the reasons that underlie our decision-making increases the risk of error. Although it's fine to operate much of our daily lives on autopilot, not every situation is so forgiving. When we put capital at risk, the danger of not understanding what influences our decisions can be monetary losses, career risk, or even bankruptcy.

In this context, let's consider the aphorism, "the plural of anecdote is not data." This is the idea that a single example should never be used to extrapolate a broader rule about, well, *anything*. This applies to stocks, the economy, politics—just about any situation where a compelling narrative might influence your views despite a dearth of evidence.

The truth of this statement is so self-evident that there seems to be little reason to have to investigate whether the quote is accurate or not. We tend to use it almost reflexively, usually in an attempt to refute a conclusion that cites a personal story. Anecdotal evidence is not mathematically or scientifically sound. When our sample set consists of a single example ($N = 1$), our conclusion will have a margin of error of plus or minus 100%.

Anecdotes are statistically insignificant.

We have learned the problem with extrapolating from single examples thanks to the work of Amos Tversky and Daniel Kahneman.^{[170](#)} In 1973, they were studying various mental shortcuts people rely on when making decisions with incomplete information. How easily an example might come to mind—including anecdotes or random examples—might not be representative of the real world. Thus, they discovered the availability bias.^{[171](#)}

Perhaps the best real-life example of the availability bias is shark attacks.